Development Theory and Practice in a Changing World

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CHAPTER

5 The role of the state

"Developmental states", geopolitics, industrialisation and security

> The hidden hand of the market will never work without a hidden fist – McDonald's cannot flourish without McDonnell Douglas, the builder of the F-15 [fighter aircraft]. And the hidden fist that keeps the world safe for Silicon Valley's technologies is called the United States Army, Air Force, Navy and Marine Corps.
>
> – (Friedmann 1999)

States

There are a variety of definitions of what constitutes a "state" and also many theories about their purpose and nature. For Strange (1996), states are institutions to mediate and resolve conflicts. However, this arguably neglects how states initially, and the inter-state system more generally, came into being, often through war (for a discussion of the emergence of the inter-state system see Spruyt 1996). On the other hand, for Jessop (2002), states are social relations. For him the state is "an ensemble of socially embedded, socially regularized and strategically selective institutions, organizations, social forces and activities organized around (or at least selectively involved in) making collectively binding decisions for an imagined political community" (6). This terminology of an imagined political community draws on Benedict Anderson's work (1983). Anderson argued that it was the printing press which was largely responsible for the spread of nationalism, by exposing people to the same ideas and constructing shared ideas of history and culture. As we will never meet all of the people living in our countries, they are "imagined" rather than actual communities. The extent to which this common imaginary applies to "weak" or "failed" or "quasi" (Jackson and Rosberg 1982) states in parts of the Third World can, however, be debated. Using terminology like this has been criticised for encouraging Western intervention in the developing world. For example, according to the radical geographer, Richard Peet, if a state is "failed", it can be argued that the "normal" rules of non-interference in internal affairs should not apply, as the state does not exercise territorial sovereignty effectively.

States serve, or are often meant to serve, a variety of functions, including the provision of security and public goods, management of the economy and the reduction of inequalities generated by and through markets. However, different states have different emphases, even if most states around the world are now capitalist in the sense that they generally serve to promote economic growth and capital accumulation for reasons of legitimation of the existing social order and distribution of property, perceived collective good and sometimes the self-interest of office holders.

States and development

For mainstream analysts development is synonymous with economic growth, industrialisation and modernisation. However, as noted previously, the term "development" is also highly contested, with some arguing that this ideology is in effect a Trojan horse for a neo-colonial or imperial project. For others, development can be both a project and a process. Despite the contested nature of the term, development has arguably become *the* central mission, rationale and justification for the existence of Third World states. Indeed, there has been a substantial amount written in recent decades on a purportedly new genus of states: developmental ones (Amsden 1989; Wade 1990).

For some scholars the nature and role of the state is the central one in international development. For example, Acemoglu and Robinson (2012) argue that where colonial institutions were more fully implanted, more successful development has been seen as a result of rule of law and property rights being more embedded, for example. This, they argue, happened in settler rather than non-settler colonies, which were more extractive. This perspective feeds into the debate in economics about whether institutions or geography matter more for developmental outcomes (Rodrik *et al.* 2004). However, this neglects that institutions are geography in the sense that they are both associated with geographical territories and what geographers call inter-scalar relations between the global and the local, for example, and help constitute them. More recently others have argued that it is policies, rather than institutions or physical geography, which matter most for economic development outcomes. However, this perspective might be questioned for its methodological nationalism and a-geographical theorisation. Relations between places shape policies, as do the particular socio-economic and physical geographies of nation-states. Nonetheless, the state remains a central "actor" or ensemble of institutions and practices in the (under)development process.

In the immediate post-colonial period for Africa and much of Asia there was extensive optimism about the role that the state could play in development. This was, in part, based on the successes of post-war rebuilding in Europe under the auspices of Keynesian welfare states. Some of the most influential theories about the role of the state in development included those of Rosenstein-Rodan (1943), Hirschman (1958) and Myrdal (1968). These different theories emphasised the importance of the state promoting development through planning and the expansion of manufacturing, in particular, which was seen to be more technologically dynamic, create higher added value and have greater employment potential. Rosenstein-Rodan's "big push" theory argued that both capital and consumer goods industries should be developed simultaneously to

allow for complementarities or synergies, market creation and economies of scale. He argued that the creation of consumer goods industries would create a market for capital goods, and the workers employed in capital goods industries would create a market for consumer goods. More recently, Jeffrey Sachs also employs the idea of a "big push" in relation to increasing aid to avail of, or create, synergies between different sectors.

As also noted earlier, the Latin American structuralist school of economics argued that the imperative for economic development was to engage in import substitution of manufactured imports from the United States and Western Europe in order to diversify and develop economies. This assigned a central role to the state in the process of economic development and in many ways served as a precursor to later theories of the "developmental state". As noted earlier, ISI had problems unless complemented by measures to promote exports, as was the case in the successful NICs of Asia. In some of the most successful NICs stepwise or sequenced policies of primary import substitution of less technologically sophisticated products was followed by primary export promotion and then secondary import substitution of more technologically advanced and capital-intensive industries, and then secondary export promotion (Gereffi 1990).

Both modernisation theory and heterodox, or non-mainstream, structuralist approaches placed a heavy emphasis on the role of the state in development, and for geopolitical reasons – to prevent the advance of communism in the Global South – the World Bank adopted elements of these. For example, the World Bank was willing to selectively support policies of import substitution until the early 1980s, and under Robert McNamara that institution promoted state-led development strategies in the 1970s focussing on "basic needs", such as water provision and integrated rural development. Both modernisation theory and orthodox (or non-radical) structuralist approaches, which did not seek an overthrow of the capitalist system, shared an underlying assumption that states would be rational, Weberian actors which would promote development in the common interest. However, with sometimes poor performance and the generalised economic crises of the 1970s and 1980s, this optimistic view of the role of the state generally gave way to a more pessimistic or restricted view of the role that these institutions could or should play in promoting development.

Rethinking the state's role in development: "overdeveloped" and "neoliberal" views

After the initial post-independence optimism about the role which the state could play in guiding and promoting economic and social development, some social scientists began to question these earlier, positive, managerialist (Weberian) conceptions of the state. Neo-Marxian theories were developed which posited an alliance between domestic capitalist classes, bureaucratic elites and international capital which perpetuated economic underdevelopment, or in the case of Latin America "dependent development" (Evans 1979). These theories draw on Marx's analytical framework but argue that capitalism results in underdevelopment rather than development in the Global South. For Hamza Alavi (1972), the underdevelopment of the domestic bourgeoisie, or capitalist class, in post-colonial societies resulted in an "overdeveloped" state which

was relatively autonomous in relation to its own society but was heavily influenced by the needs of, and responsive to, international capital, resulting in exploitative economic relations and underdevelopment. In relation to Africa, the "Kenyan debate" was about whether the state was primarily responsive to the domestic or international fraction of capital (Swainson 1980; Beckman 1980). Later work on Kenya emphasised the importance of the domestically based but "non-indigenous" bourgeoisie of Asian extraction (Himbara 1994).

While cynicism about the role of the state in the economy is often traced to the "Reagan and Thatcher revolutions" in the US and UK and the intellectual currents associated with these and their precursors, as noted earlier, there was also substantial left-wing criticism of actually existing states in the Third World. These concerns, from both left- and right-wing perspectives, were to come to a head with the Latin American debt crisis of the early 1980s.

As noted earlier, the global economic turbulence of the 1970s and the abandonment of the Bretton Woods system of fixed exchange rates, the second oil crisis and the Mexican debt default created conditions where many developing countries experienced economic crises and severe difficulty in accessing private international capital markets. Many countries were consequently forced to turn to the World Bank and the IMF for balance-of-payments support. In exchange the IFIs demanded SAPs be implemented. Fundamentally, at least in the initial stages, these were about reducing the role of the state in the economy so that it would function as a "night watchman" over the market, which it was felt would drive development.

The impacts of programmes of economic liberalisation varied depending on the specific geographical political economies undertaking them. They were generally more "successful", in their own terms, in countries in Southeast Asia, for example, where a regional product cycle was at work. Product cycle theory posits that industrial production moves from initial higher cost centres of innovation to lower-cost locations as technology diffuses and rents are dissipated. However, where this was not operative, they often resulted in competitive displacement of manufacturing production and social immiseration, particularly in much of Latin America and Africa during the lost decade(s) of the 1980s and part of the 1990s. "Infant industries" in these continents could often not compete with imports; cutbacks in health and education expenditures had devastating social and economic impacts, and a generalised "hollowing out" of the state associated with austerity resulted in dramatic reductions in development capacity. The devastating impacts of SAPs in these cases have been extensively analysed.

State failure, violence and underdevelopment

While the reasons for the general failure of SAPs in the developing world have been explored extensively in the literature (Lensink 1996; Mohan 2000), the effect on states varied depending on the economic context and the balance of social forces. In cases of previous state collapse, a "trough factor" (Martin 1993), where in effect the only choices were continued disorder or state reconstruction, was sometimes observed. In some cases "strong states" emerged, as in Ghana and Ethiopia, for example, which were

able to take of advantage of inflows of hard currency associated with structural adjustment to relieve foreign exchange constraints on economic growth (Hutchful 2002). For example, if there are severe shortages of forex, spare parts for machinery cannot be imported and the economy grinds to a halt. In other cases, however, the cutbacks in government expenditure associated with fiscal rectitude or government spending cuts under SAPs resulted in the dissolution of the "patrimonial glue" which held some extant regimes together (Reno 1998). (Max Weber distinguished between rational-bureaucratic and patrimonial systems of authority. Patrimonialism is a kind of "who you know" politics, where state positions are awarded on the basis of personal contacts, rather than merit, for example.) In some instances these dynamics fed into the creation of trans-border crisis complexes in West and Central Africa, for example, which had their own enduring dynamics (Berg 2008).

From a rational choice perspective, which essentialises people as rational actors, Bates (2008) argues that state rulers in Africa are "specialists in violence" who may choose to deploy it either to prey on wealth or to protect its creation. Despite conditions of often intense poverty and the incentives which that creates for conflict, such as the lowering of opportunity costs to engage in violence for youth, African rulers tend to remain longer in power than those in other world regions. In part this is because of the way in which they are able to leverage external resources, such as aid or inflows of foreign currency from natural resources, into internal authority (Peiffer and Englebert 2012). In many developing countries regime maintenance, rather than economic and social development, is the primary goal of state regimes, despite public pronouncements to the contrary. This often results in unstable social formations, however, as state hegemony is not secure. The theory of hegemony was developed by the Italian Marxist, Antonio Gramsci. He sought to solve the puzzle as to why the working class did not revolt against their own exploitation, but rather actively participated in it. He proposed cultural-political hegemony as the reason. Hegemony is "coercion informed by consent" (Marais 1998), where capitalist social relations come to be seen as "common sense". This theory can also be applied to international relations where great powers attempt to present their interests as common interests in the international system through free trade, for example.

Developmental and catalytic states

The general failure of structural adjustment to achieve economic transformation in the developing world led to increased academic interest in a variety of other state models, particularly those of the NICs of East Asia. It was argued that these states had succeeded in industrialising by deliberately creating economic incentives which deviated from those of the "free" market – "getting prices wrong" (Amsden 1989), channelling finance to fast-growing industrial sectors and adopting a variety of other policy interventions to deliberately steer economic diversification. According to Amsden and Wade, developmental states are characterised by insulated, meritocratic yet embedded bureaucracies. Others characterise the social relations of developmental states as "embedded autonomy" (Evans 1995), where the state bureaucracy is linked into or

responsive to but largely autonomous from, rather than captured by, societal interest groups, particularly private capital. This allows information to flow between the private sector and the state in addition to allowing state authority to be exercised to achieve developmental goals and aims. According to Woo-Cumings (1999, 27) "such economic and political relationships often imply a corporatist framework, involving large economic groupings (like the *keiretsu* [corporate conglomerates in Japan] or the *chaebol* [their equivalent in South Korea]) with which the state can coordinate and negotiate investment decisions".

In an evolution of this literature Linda Weiss (1998) argued that states in Europe, East Asia and elsewhere continue to play a vital role in the promotion of economic development. With the worldwide expansion of neoliberalism, she coined a new category of states – catalytic ones – which facilitate and guide private-sector development, rather than being highly directive as in the developmental state model. In light of the "revisionist thesis" promoted by authors such as Amsden and Wade, and partly at the instigation of the Japanese government, the World Bank also began to revise its conception of the appropriate role of the state in the economy in the 1990s, arguing that states should match "capabilities" with "roles" (Moore 1999). However, this ignored the possibility of how to build state capacities – one of the most important questions in international development. In practice, however, it has supported the work of the African Capacity Building Foundation, which works to develop national statistical or financial management capabilities, for example, rather than developmental states.

One of the key, and often neglected, factors in the emergence of developmental states is either an internal or external security threat which incentivises state elites to develop the economy as a source of legitimation and funding stream for the military. In Africa the developmental states of Rwanda and Ethiopia are, or were until recently in the latter case, dominated by minority ethnic groups who have experienced genocide, for example. However, this state strength may be implicated in the perpetuation and deepening of state weaknesses in other countries. For example, the Rwandan government has repeatedly invaded the neighbouring DRC and has been implicated in supporting rebel groups in the east of the country, although they deny this. This is another important reason to avoid the "territorial trap" (Agnew and Corbridge 1995) of methodological nationalism when considering state forms in the developing world – state strength and weakness are mutually imbricated and transnationally constitutive.

There are also a variety of models in development not captured by the state–market dichotomy. For example, some scholars have written about the role which civil society can play in the co-production of (public) goods and services (Tendler 1997). For Tendler, the key to effective, development-oriented governance may be "synergy" between different social forces and actors. She develops this argument through reference to the experience of the Brazilian state of Ceará.

Brazil has also been marked by state innovation at a national level through programmes such as "Zero Hunger" under Worker Party Rule from 2003 onwards. This programme had a variety of dimensions to it, including the creation of low-cost restaurants. During that time the Brazilian state could have been characterised as hybrid neoliberal/developmental or neostructuralist, where macro-economic policy followed economic orthodoxy, but microeconomic (firm level) and social policy were more

interventionist. However, with the end of the global commodity super-cycle and recession in Brazil, Lula's successor to the presidency from the Workers' Party, and the first female to hold the post, Dilma Rousseff, was deposed. The new government which came to power was much more right wing under Michel Temer. His cabinet was composed entirely of men of European extraction, and his government passed a law freezing social spending in Brazil for 20 years. The presidential election of 2018 brought a former military officer, Jair Bolsonaro, to power. He has argued that the Chilean military dictatorship did not kill enough people and that the state should subsidise gun purchases for citizens. He has also argued that the poor should be sterilised to reduce crime rates.

Globalisation: the rise or retreat of the state in development?

The nature and role of the state in development is fundamentally related to globalisation. However, globalisation is not a static process, but a dynamic one involving rapid evolution in the forms of socio-spatial relations. The "rise of China" in the international political economy has reconfigured the nature of globalisation, given the still strong role of the state in the economy there and the prominent role which SOEs have played in that country's "go out" policy to promote overseas investment by its companies.

There has been a debate about the nature of the Chinese state. It has been variously characterised as developmental, neoliberal, Neo-Stalinist, market socialist or fragmented authoritarian (Lieberthal 1992). Even as it has liberalised its economy domestically, the Chinese government has expanded its spatial reach overseas through its state-owned corporations – respatialising rather than reducing the power of the state. This new model of globalisation, which is state promoted, not only calls into question the ontological distinction between "states" and "corporations" as separate social forces but also the posited opposition between the power of states and "globalisation". One of the most influential works which questioned the separation or distinction between state and society is Migdal (2001). Most of the 89 Chinese corporations in the Global Fortune 500 index of the biggest companies in the world are state-owned.

While many analysts now agree that states have a vital role to play in promoting economic and social development, the extent to which they can do this depends on their particular configuration. A central axis of debate is the nature of "the" state: whether it is hard (has the ability to enforce its will) or soft (ineffective and reluctant to challenge powerful social forces) (Myrdal 1968). Other axes of debate centre on whether or not states or societies are "strong" or "weak" in relation to each other. This approach also suffers from methodological nationalism by often not interrogating in relation to which social forces these designations are applied. For example, authoritarian states may be "strong" in relation to their domestic societies but weak relative to international capital.

Actor–network theory provides a more nuanced characterisation of states as assemblages of institutions, practices, actors and artefacts (things). Under conditions of globalisation, such a perspective allows us to examine the constitution of particular states

and how they may be differentially and selectively internationalised (responsive to international forces), for example. Geographers have also recently theorised the spatiality of state networks and sovereignty using assemblage theory, arguing that under conditions of globalisation with a shift from "government" to "governance" by networks that a primary characteristic of states is that they possess "reach", not "height" (Allen and Cochrane 2010). In this theory states are not "national" but operate through multi-sited power relations and assemblages, and consequently development outcomes depend on the nature of these interactions and the power capabilities of different actors.

Different world regions have given rise to different theorisations of the state. For example, in relation to Africa much has been written about neopatrimonial, which combine patrimonial and Weberian rational – bureaucratic logics, or rhizome states which have patronage networks through society in a root-like fashion but fail to achieve state hegemony because of their inherently exclusionary nature (Bayart 1993). Other influential theories related to the African context include those of the "suspended state", which is largely disconnected from its own domestic society, giving it an outward orientation (Samatar and Samatar 1987), and the "bifurcated" state (Mamdani 1996) created under colonialism, where in broad-brush terms people in urban areas were governed as citizens, whereas in rural areas they were made into subjects with very constrained rights.

In the East Asian region the central theory in recent decades has been the developmental state. However, with the advent of network trade, where components for manufactured products are often sourced in multiple different countries and then assembled in a low-wage economy before being exported for consumption, some have questioned whether this model still applies in the original NICs (Yeung 2016). Others have also questioned the opposition between patrimonialism and developmentalism, arguing that some states in Africa are characterised by developmental patrimonialism (Kelsall 2013) – that is, that certain forms of corruption may concentrate rents, thereby allowing for capital accumulation and development.

Despite widespread neoliberalisation across much of the developing world, the role of the state in promoting economic diversification and improved living standards and the ways in which it may hamper or prevent these outcomes are still some of the most debated topics in the international development literature. A recent book argues that the development divergence between Asia and Africa can be explained in voluntaristic terms – that Asian leaders wanted to promote development through the upliftment of the majority of the rural population, whereas this was not the case in Africa (Henley 2015). However, this neglects both what are called "selection environments" and "political opportunity structures".

Selection environments refers to the socio-economic conditions which give rise to certain social or economic characteristics to succeed over others. For example, Russia as a sprawling multi-national country (some would say empire), and given its distinctive history, has tended to have authoritarian leaders. "Russia is the biggest country in the world, twice the size of the USA or China, five times the size of India, seventy times the size of the UK" (Marshall 2015, 9). We can think of this as the selection environment, a concept which was initially developed in the biological sciences to explain why certain plant species thrived in certain places and not others. Political opportunity

structure refers to the room for action that political actors have or face given prevailing distributions of power, which will lead them to follow certain courses of action over others. This feeds into the debate about the relative importance of structure and so-called agency in determining social or developmental outcomes. Do people or politicians really have "free will" to choose different courses of action?

In psychology, some theorists have cast doubt on the mind/brain division that much of international relations theory implicitly accepts (Green 2003). For those theorists, the brain is simply another bodily organ which responds to physical and chemical stimuli and has learnt from past experience, and there is no separate "mind". This is not to dispute that some people have power over others, but rather to question the extent to which free will or voluntarism can be attributed to actions. In this context, it then becomes very important to distinguish between agency and power. For example, although some African political elites may have recently gained power in relation to "external" actors, their power should not be confused with their agency or lack thereof. While certain politicians, such as Vladamir Lenin in Russia, believed that societies could be remade through acts of will, this conclusion was an outcome of all of the events and thoughts leading up to it. As the noted political scientist, Alexander Wendt, reminds us, social structures and other things like commodities originate as ideas, but these ideas are not autonomous, instead arising from particular upbringings, contexts and biologies. States are, however, reconfiguring discourses and global imaginaries.

The "rise of China" and "the South" more generally is creating a new macro-geopolitical region – a "South Space" – which has greater policy latitude and autonomy from the IFIs in some cases (Carmody 2013a). This greater policy autonomy which countries across much of the Global South are experiencing may not fundamentally challenge neoliberalism, but rather lead to its renegotiation through resource nationalism, whereby resource-rich states capture greater shares of resource rents and revenues. Some refer to this conjunction of events as providing scope for neodevelopmentalism.

Geopolitics and developmental states

There are a variety of definitions of what constitutes geopolitics and geoeconomics (Lee *et al*. 2017). One way to think of geopolitics is that it is how power differences get expressed in the international arena spatially. How do certain social actors and countries/states dominate others economically, politically and militarily in the international political economy? What explains this uneven distribution and replication of this spatial structure of power? This has important implications for development, as will be explored next.

Without doubt, the most successful region of the world in terms of development since the 1960s has been East Asia. In contrast to the predictions of dependency theory, many countries in the region have managed to rapidly industrialise and lift most of their populations out of poverty. A huge volume of literature has been written to try to explain how this has happened. As noted earlier, one recent book compares the developmental trajectories of Asia and Africa and largely ascribes the difference to the intentions of political elites (Henley 2015). This does not explain why elites were supposedly

developmental in Asia but not in Africa, however, and also neglects the importance of state structures, state–society interactions, geopolitics and other factors.

Many analyses attribute the rise of East Asia to the presence of so-called developmental states in the region. According to one observer:

> Fundamental to East Asian development has been the focus on industrialization as opposed to considerations involving maximizing profitability on the basis of current comparative advantage. In other words, market rationality has been constrained by the priorities of industrialization. Key to rapid industrialization is a strong and autonomous state, providing directional thrust to the operation of the market mechanism. The market is guided by a conception of long-term national rationality of investment formulated by government officials. It is the "synergy" between the state and the market which provides the basis for outstanding development experience.
>
> (Öniş 1991, 112)

In many ways Japan provided the model for this type of approach (Johnson 1982), as it was never colonised, unlike most of the non-Western world, and it industrialised in the nineteenth century after throwing off the strictures of Western-imposed free trade, which had been enforced by so-called "gun-boat diplomacy". In 1853 Commodore Perry of the US Navy led a small fleet of ships into Edo Bay, now called Tokyo Bay, in order to end Japanese self-imposed isolation and open the country up to trade with the US, by force if necessary (Stavrianos 1981). In order to make the point Perry fired volleys of blank cannon shot, supposedly to celebrate American independence, and threatened to vanquish the Japanese militarily. The Meiji Restoration of 1868, however, gradually restored autonomy to Japan and enabled it to industrialise by importing Western technology, methods and technologists. On coming to power the new emperor said that "knowledge shall be sought from all over the world and thereby the foundations of the imperial rule shall be strengthened" (quoted in Kissinger 2011, 79).

While the American state has promoted economic liberalisation around the world, at least since the 1980s, it continues to operate what Mariana Mazzucato (2011) calls a "hidden developmental state" itself through subsidies for technology development in the arms industry, for example, which can then be further developed for civilian application. Recent work has also shown how the American occupation of Japan after World War II, and its strictly planned nature, laid the groundwork for its subsequent economic resurgence (Glassman 2018). American involvement was also important in the South Korean case subsequently (Glassman and Choi 2014), as it supplied most of its foreign exchange through aid at certain points in time.

Neoclassical economists argue that the role of the state should be as limited as possible in economic development and that the "free" market, left to its own devices, will find the most efficient allocation of resources based on relative scarcity as expressed through prices. However, Wade (1990) characterised the Taiwanese experience as one of "governing the market" – that is, where the state does not supplant the market as an economic coordination mechanism but strategically manages it in order to promote industrialisation.

According to Leftwich (2000) a developmental state is one which has development as its overriding priority and subordinates other policy goals or objectives to that. However, in general, to speak of developmental states is a misnomer. Most governments and regimes are concerned above all else with state or party maintenance or national security and survival. Jessop (2002) notes that security may override capital accumulation as a state priority. This can be seen, for example, in the extensive state planning which was implemented in Britain during the Second World War. The most successful "developmental states" in Asia and Africa have not necessarily had development as their overriding priority, but have in reality been security states, pre-occupied with regime and/or state survival. This applies to Taiwan, South Korea, China, Ethiopia or Rwanda, although Himbara (2016), a former government advisor there, has questioned the latter country's status as a developmental state, suggesting many of the statistics which would support this interpretation have been deliberately falsified, although this finding has been strongly disputed and debated (see Ring 2018; Anonymous 2018). These have also been authoritarian states, capable of disciplining or repressing labour and the peasantry, but also what is typically amongst the most powerful social forces or actors in given state–society formations – (trans)national capital.

So-called developmental states typically engage in what neoclassical economists call "repressing" finance or regulating it to channel investment to productive economic activities. However, if a security threat is not imminent, often there are easier, more lucrative or otherwise more contextually incentive compatible ways of governing. The implications of this are stark. While some have argued that systemic vulnerability promotes economic up-grading (Doner *et al.* 2005) or that it may be useful to manufacture security threats to have states behave in more developmental ways, this seems unlikely to occur. Why would foreign powers do this? Furthermore, the extent to which "the state" is inter-subjectively understood to be an entity worth defending and strengthening varies from context to context (Dunn 2001). Where the state has been experienced as an agent of repression, people may choose the exit option and disengage from it by reverting to subsistence agriculture, as in parts of Africa during the 1980s, for example (Cheru 1989).

In terms of the structure of developmental states, both Amsden and Wade emphasised that they were relatively autonomous from domestic social forces and that this autonomy enabled them to set appropriate economic policies using targets and incentives, such as export competitions, and sanctions. In many other countries of the Global South states are often captured by powerful domestic social interests (Migdal 1988), which may compromise their ability to devise economic policies which are broadly socially beneficial. As noted earlier, Peter Evans (1995) extended Amsden's and Wade's insights through the development of the concept of "embedded autonomy". This was the idea that effective states are sufficiently autonomous from business or capital to be able to discipline it by insisting on good export performance, for example, in return for subsidies. However, in order to be responsive to the needs of business in terms of training, penetrating export markets, etc., the state also had to be embedded with business but not captured by it.

The theory of the developmental state has also come under critique. Chang (2013, 85), for example, argues that "the predilection to set up an opposition between state and

market has resulted in 'downplaying the role of class' in analysing development" and that

> the concept of the developmental state can be derived only with a particular understanding of labour that is disempowered and depoliticised. Statist development policies are essentially anti-labour in that they 'fetishise' or mystify the state as if it exists apart from social relations in 'facilitating' development.

Rather he argues the developmental states of East Asia were capitalist:

> Emerging discontent from labour and its disruptive potential, alone or in combination with other forms of social unrest was a key factor in East Asia that prompted individual capitals at an early stage to concede to state coordination in exchange for its tight control over collective labour. . . . Indeed, the strength and characteristics of the East Asian states, and the illusion of their autonomy, are a consequence of the isolation and suppression of workers and social movements.
>
> (Chang 2013, 85)

What makes a state developmental?

As noted earlier, there have been a variety of different theories about what makes a state developmental. Core components seem to be that the state bureaucracy be meritocratic and competent and that policy makers be insulated from the demands of special-interest groups. However, the political opportunity structure is also key. For example, the confusion and dislocation created by war may provide state elites with an opportunity to reshape society, as was the case in South Korea. However, external factors may also be very important. For example, Pempel (1999) argues that late industrialisers in East Asia benefitted from a "developmental regime". This was where the United States allowed largely free access to its market and provided very substantial ODA for Taiwan and South Korea to ward off the threat of communist takeover in those countries. However, many countries in Africa received substantial development assistance from the US, such as Zaire under the notorious dictator and kleptocrat, Mobutu Seso Seko, which did not industrialise.[1] Thus, it is the interrelationship between internal and external factors which is key. According to Robert Wade at the London School of Economics development is more like a combination lock than a padlock.

In order to stay in power, regimes in the Global South may offer more powerful actors in the international political economy an "extraversion portfolio" from which they can benefit (Peiffer and Englebert 2012). Extaversion implies an external orientation, either in politics or economics. In economics an extraverted economy meets the needs of people overseas rather than domestic citizens' needs. For example, the Ethiopian People's Revolutionary Democratic Front (EPRDF) is known to be a very repressive government and yet it continues to attract very substantial amounts of Western ODA (Fantini and Puddu 2016). In part this is because the country is seen to be successful at poverty reduction, with the economy quadrupling in size between 2005

and 2015 (Singh and Ovadia 2018) and because the regime has brought relative stability to the country after a long-running civil war. The Western powers have supported Ethiopia because of its geopolitical importance. According to a British military official in Ethiopia, the government there is also willing to fight "proxy wars" on the West's behalf by invading Somalia to depose the Islamic Courts Union government in 2006, for example (in conversation, Addis Ababa 2011).

Developmental states in Africa?

Oftentimes social scientists or those in the media talk about Africa as if it is one place, using phrases such as "Africa is poor". We can think of this as a form of methodological continentalism, which disguises the huge variations in socio-economic conditions across the continent, even if it is true as a general statement. Mauritius, for example, has a highly developed and diversified economy, and Sandton in Johannesburg is extremely wealthy, as are parts of Accra in Ghana (Figures 5.1 and 5.2).

Increasing numbers of people live in poverty in Africa (Beegle *et al*. 2016). This is, in part, a result of the continent's continuing deindustrialisation (UNCTAD 2012a). However, there is a largely unexplored paradox in African development: there are many examples of successful manufacturing and service firms and some successful industrial policies on the continent. The most successful industrial policy in recent years on the continent has been that of Ethiopia, which will be explored in more detail later.



FIGURE 5.1 Norton Rose Fulbright South Africa building, Sandton, Johannesburg



FIGURE 5.2 High-end housing in Accra, Ghana
Photo credit: Ian Yeboah

While Africa is often associated with developmental failure, how do successful, internationally competitive firms and foreign investments emerge in Africa, and what lessons can be learnt from their experiences? This is an important time to examine this question, given the end of the commodity super-cycle and generally improved governance and business environments on the continent (Rotberg 2013). These, combined with dramatic changes in the structure of global trade relations, particularly the increased importance of GVCs and associated "network" trade in tasks, such as assembly, rather than in complete products (Kaplinksy and Morris 2016), offer potential for African industrial development. Countries such as China, Malaysia and Thailand are increasingly concentrating on medium- and high-tech manufactured exports (Newman *et al.* 2016), potentially opening up product space for Africa to compete in lower-end manufacturing. By way of example, 13 per cent of apparel chief procurement officers interviewed recently ranked Ethiopia as a top-three sourcing destination over the next five years (Berg *et al.* 2015). Philip Van Huesen, the owner of the Tommy Hilfiger and Calvin Klein brands, has begun producing clothing at scale in a major new industrial park in Hawassa, a few hundred kilometres outside of the Ethiopian capital of Addis Ababa, which is meant to employ 60,000 people. However, if endogenous, or internally propelled, industrialisation is to take hold, African companies need to meet Asian competition, create ties to international markets with high-import propensities, such as China, and overcome other challenges to growth and innovation, such as infrastructure and access to finance.

The central problematic of Africa's development is rooted in its economic structure, with not a single (Sub-Saharan) African country having a manufactured product in its top three exports, according to the United Nations' Comtrade data (Cramer 2016), excluding Mauritius. For some, the recent commodities boom seemed to preclude the need for more active industrial strategies on the continent (Thakkar 2015). However, despite rhetoric about the continent "rising" or becoming a "global powerhouse" (Bright and Hruby 2015), a large part of Africa's continuing developmental impasse is the general absence of territorial innovation systems, with some exceptions such as the new media cluster of firms in Cape Town (Booyens *et al.* 2013). Territorial innovation systems combine growing firms and training institutions to enable new higher-value products and processes to be developed. However, the continent as a whole remains dependent on primary commodity exports.

Primary commodity production tends to be of relatively low productivity and generates fewer technological breakthroughs, linkages and consequently multipliers than manufacturing and some services. Furthermore, primary commodities are notoriously volatile in terms of their prices, and the recent super-cycle or boom notwithstanding, the long-term trend since the 1930s for primary commodity prices continues downwards (Moseley 2014), with the exception of oil. This trend gives added impetus to the imperative to move beyond dependence on them.

The development policy challenge of industrialisation

Given the intense competition in the global economy between industrial regions and pervasive economies of scale, which often make bigger plants more efficient and positive externalities, where knowledge spills over between co-located firms, for example, and other handicaps such as the underfunding of universities in Africa, the establishment of territorial innovation systems has proven very difficult there. However, while Africa as a whole performs poorly on traditional measures of innovation, such as patents or numbers of scientific and technical publications (Oluwatobi *et al.* 2015), there are nonetheless successful manufacturing and service firms on the continent.

Quantitative research has shown a relationship between production, innovation and growth amongst small firms on the continent (cf. Goedhuys and Sleuwaegen 2010). However, such approaches tend to treat firms as ontologically separate units of analysis, thereby often ignoring how networks and social relations may have contributed to firm growth and development. Rather than conceptualising firms in this way, they can also be conceived of as nodes within networks, such as those of global production, trade or national political economy (Ouma 2015). Territorially embedded development processes can be thought of as outcomes of transnational and transnationalising assemblages of artefacts and actors who have different skills, capabilities, subjectivities and interests which are shaped by their shifting positionalities in networks. Consequently, examining the role of networks is vitally important. How and why do such successful firm networks emerge, and what policy lessons can be drawn from their experience more broadly for Africa and beyond?

The positive relationship between industrialisation and development is well established; however, there are a variety of definitions of what constitutes industrialisation in the literature. For the purposes of this book, it entails the sustained raising of productivity across sectors and the capturing of this value locally and nationally. This is often an inherently difficult process given the established competitive advantages, such as capabilities and economies of scale, already developed by regional production complexes in other parts of the world.

Increases in manufacturing output or productivity are not by themselves enough, however. While manufacturing output in the Global South now exceeds that in the Global North, average incomes in the South remained roughly stagnant as the proportion of those in the North, at around 5 per cent (Arrighi *et al*. 2003 cited in Selwyn 2014). Some of the most efficient or productive transnational corporation plants in the world are in the Global South, such as Ford car plants in Mexico. However, wages remain low and profits flow primarily back to foreign shareholders.

In Mexico foreign-owned factories which get tax breaks on imports that are used to assemble products for exports are known as *maquiladoras* and primarily employ young women, often under extremely exploitative labour conditions (Cravey 1998). However, low wages and often more lax environmental regulation are attractive to transnational corporations, though they are not necessarily positive from a developmental point of view. "Between 1980 and 1997 Mexico's share in world manufactured exports rose tenfold, while its share in world manufacturing value added fell by more than one third and its share in world income (in current dollars) [fell] by about 13 percent" (UNCTAD 2002, 80 quoted in Hart-Landsberg 2013, 85–86). In 2010 inflows of foreign direct investment to "developing" countries were more than half of the global total for the first time (UNCTAD 2012b), although there are also other attractions than cheap labour, such as land and natural resources.

In recent years there has been a substantial resurgence of interest in industrial policy as a mechanism through which to achieve "late development" (Stiglitz *et al*. 2013; Noman and Stiglitz 2015; Clark *et al*. 2016). A number of important theoretical innovations have also been made in recent years in understanding the nature of multi-scalar development in the context of deepening globalisation, such as product space (Hidalgo *et al*. 2007), political settlements (Khan 2013) and global production network (GPN) theories (Coe and Yeung 2015). In particular, GPN theories have focussed on the importance of "strategic couplings" between regional assets, such as skilled labour, and so-called lead firms (TNCs) (Yeung 2016). These strategic couplings involve win-win outcomes for the actors involved through capability development, for example.

Africa has also seen an increasing growth of indigenous TNCs in recent years. While it is well known that many major corporations have originated in South Africa, recent research has revealed that there are now a multitude of other African originating companies operating transnationally on the continent (Rolfe *et al*. 2015). Some prominent examples of these include the Nigerian-based Dangote group, which has operations across the continent and grew initially on the basis of extensive protection in its home market for cement, and the Madhvani group of Uganda, which is involved in sugar and chemical production amongst other subsectors. This also includes Africa's only "unicorn" technology company (a start-up valued at more than US$1 billion) – the Africa

Internet Group from Nigeria. However, a somewhat disturbing trend is that "African MNCs [multi-national companies] have targeted their FDI [foreign direct investment] activities mainly at other African countries, including the conflict-affected and fragile states" (Ibeh 2015, 135), creating regional rather than GPNs. These investments appear to be mostly market serving rather than efficiency seeking – a form of economic introversion also visible in other sectors on the continent, such as business process outsourcing (BPO) (Mann and Graham 2016). This inherently limits growth potential by militating against a "leap into global network trade", which is potentially important to the continent's economic development. However, there are also some counter-examples of Mauritian clothing companies manufacturing in Madagascar for global buyers (Morris *et al.* 2015) and of smaller companies, such as Sole Rebels in Ethiopia, which now sells its shoes in 30 countries around the world (Nsehe 2012).

The "inclusionary bias" of GPN theory, or the tendency to focus research on areas which are plugged into them, has recently been noted (Bair and Werner 2011). However, theoretically there is a need to explain alternative modes of globalisation of firms and regions, such as direct exporting to end consumers, currently largely excluded from the gaze of GPN research. Often small and medium-sized enterprises from Africa export directly to end consumers or through intermediaries, rather than being embedded in GPNs with lead firms. For example, 40 per cent of Kenyan manufacturers export (Newman n.d.), although these are often to regional markets. Small and medium-sized enterprises generate the most jobs, globally and in Africa, and there is a need to focus on more "ordinary" firms, rather than just high-tech ones or those connected into GPNs.

How do successful learning and exporting firms and investment-development pathways emerge and stabilise in Africa? Sometimes these are based on "frugal" innovations and involve different forms of connection to the global economy than that posited or examined in the GPN literature. Examples of frugal innovation include using smart phones and cameras to manage production lines remotely in a furniture factory in South Africa (Carmody 2014) to designing and building an aircraft from scratch using locally available materials (Muchie *et al.* 2003).

A cluster is generally defined as a geographic agglomeration of firms producing the same types or products, perhaps in combination with those in related industries. Theoretically, while the specifics behind each firm and cluster experience vary, successful industrial development experiences in Africa are often a result of multiple strategic couplings, including those between firms and, sometimes the state, described in more detail later, combined with locally innovative firm practices and technological adaptations, otherwise known as technology diffusion management. Such productive couplings or "institutional thickness" (Amin and Thrift 1994) have been largely absent in Africa, or in some cases the couplings between state and firms has been unproductive or obstructive (Hampwaye and Jeppesen 2014; Urassa 2014).

Industrial systems as assemblage and the role of the state

What kinds of social relations promote industrial development? While there has been substantial academic work done on the role of the state in the promotion of successful

industrial development and its role remains central, new types of social relations and assemblages are emerging and emergent which may promote industrialisation. Ethiopian manufacturing has been growing at an exceptionally high rate; 15 per cent a year in five recent years (Tomkinson 2016), and the reasons behind this will be discussed in more detail later.

Multiple and effective strategic couplings can be conceived of as an assemblage (see Figure 5.3). For example, one of the most recent successful industrial development experiences on the continent – the Huijan shoe company investment in the Bole Lemi special economic zone in Ethiopia (Staritz *et al.* 2016) – involves foreign investment and is an outcome of a transnational assemblage involving multi-axis strategic couplings between foreign investors, regional assets, government and a "third-party state" – China. As Brautigam *et al.* (2015) note, "Ethiopia has adopted an active, state driven industrial policy aimed at incentivising exports, attracting lead firms and foreign direct investment (FDI), supporting local firms, and creating local linkages to promote priority sectors such as apparel and textiles". Eighty per cent of leather used by Huijan in Ethiopia is locally sourced (Hauge 2016), and the company recently announced

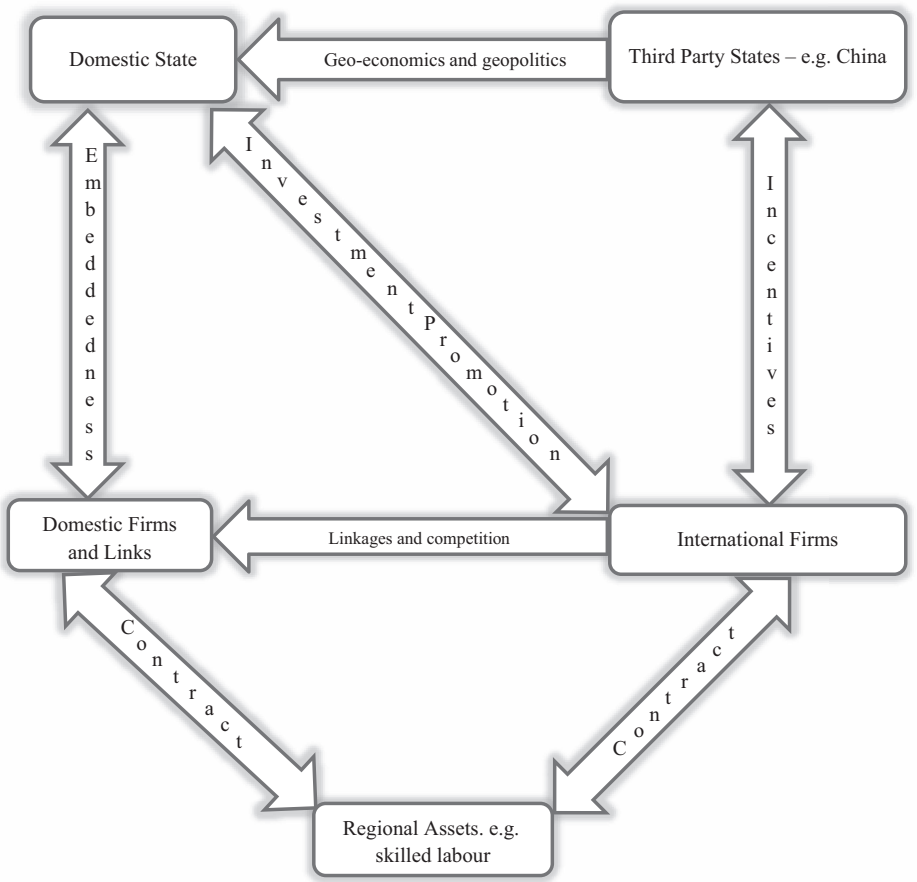


FIGURE 5.3 Heuristic of elements of a successful industrial system

that it will be moving its headquarters there from China, although some have reservations about the broader developmental potential of the Chinese-built special economic zones (SEZs) in the country. For example, Giannecchini and Taylor (2018) argue that because the Eastern Industrial Zone outside of Addis is completely occupied by Chinese companies, there is unlikely to be any technology transfer to local companies.

The "endogeneity factor", where better-performing economies attract more foreign investment, may also be operative in Ethiopia (Moghalu 2014). It not yet a member of the WTO (a form of deliberate non-assemblage), which allows it to engage in strategic economic interventions to promote industrialisation. Productive assemblages are, in turn, composed of sub-assemblages of actors and artefacts within firms, for example; however, the role of the state remains central.

Africa has the highest inter-firm productivity differentials of any world region (Newman *et al.* 2016), and this may partly reflect connections between large businesses and political elites, which may create certain advantages for some of these firms (Tvedten *et al.* 2014). State–firm relations and networks are then important, rather than simply assuming the state to be a barrier to enterprise development. In terms of developmental impact, what is important is the scale, productivity growth, rent (above market rate of return) capture and local and national linkages and untraded inter-dependencies created, such as knowledge spill-overs as workers and managers move between firms (Storper 1997).

To date, explanations for the relative success or failure of industry and technology policies in Africa have concentrated on the impacts of economic liberalisation (Stein 1992) and/or political settlements (the balance of power between political elites, bureaucrats and private-sector interests and the institutional arrangements put in place to reflect and stabilise these) (Whitfield *et al.* 2015). Political settlements are structured by the nature of economies and how these interact with past histories of conflict, identity and other contextual factors. They are also influenced by forces of "globalisation", often originating from outside the national territory. However, the political settlements literature still has an incomplete methodologically nationalist focus and consequently needs to be complemented and expanded through its deployment and engagement with other theories, such as product cycle theories.

The most poorly capacitated states, at least in terms of directing economic transformation, are often found in the poorest countries, where regime maintenance is often the overriding government priority. State capacities can be developed (UNECA 2016), and developmental ambition may be an important spur to this (Cramer 2016), as the relatively successful case of Ethiopia has shown (Chandra 2013; Oqubay 2015). Although current Ethiopian development is also associated with accumulation by dispossession. The global commodification of food and related price increases have spurred land grabbing in the country, creating labour, which is an enactment of global commodification chains. Land rights have recently sparked protests in the country, a government crackdown and then a change in prime minister. If conflict were to substantially escalate, it might undermine industrial development. Indeed the new prime minister, Abiy Ahmed, seemed to be close to being overthrown by protesting soldiers in 2018 (his getting them to do push-ups with him seemed to deflect them). "Developmental states" are often highly authoritarian. For example, the South Korean state massacred workers in Gwangju in 1980, which is often forgotten in Western countries.

When development is initially successful, this may turn into a recursive feedback loop as the realisation of profit through exchange feeds directly back to state power and capabilities development. Profits from production augment state power through the taxes levied on labour and companies during the production and circulation processes and through processes of learning-by-doing industrial policy. Thus, what is often seen to be a form of globalisation disconnected from the state – namely, the global sale of commodities – in fact represents a fused form of "commodity power" which may benefit not only corporations but also the states in which they are headquartered or where production takes place. Whether states prioritise development, however, depends on the nature of their social bases and issues such as whether or not they face a security threat which encourages prioritisation of national economic development.

The political opportunity structure facing states plays a critical role in determining whether or not they adopt a "nurture capitalism" or anti-developmental, neopatrimonial, regime maintenance stance (Van de Walle 2001). As noted earlier, according to the World Bank African states need to match capabilities and roles – providing basic infrastructure and macro-economic stability, for example, while otherwise allowing the "free" operation of the market. However, as some have noted, markets must be created before they can be freed.

Typically in World Bank studies the African state is viewed as a constraint on enterprise development to be removed, rather than conceptualised as an institution which can actively guide and promote economic transformation. However, as described earlier, it is the nature of the state, the political settlement and the types of assemblages which are constructed and the way in which the political economy is articulated to global regimes or not, such as that of the WTO, which determine whether or not industrial policy will be successful in terms of raising peoples' standards of living generally. However, others argue that "from the twin crises of global urbanization and industrialization signified by 'surplus humanity', to the faltering productivist behemoth of industrial agriculture . . . there are good reasons for considering that an epochal crisis may well be on the horizon" (Moore 2015, 27).

Most people around the world might think that industrialisation and urbanisation are good things. However, industrialisation is resource intensive and often, in the initial stages at least, highly exploitative of labour. Furthermore, the industrialisation of some world regions puts competitive pressure on others, sometimes resulting in their deindustrialisation – creating "surplus people" who do not function as effective producers for, or consumers in, the globalised economy. Is the "development" enterprise then fundamentally flawed? The next chapter explores a number of theories which suggests that it is.

Note

1 His given name was previously Joseph Mobutu, but on ascending to the presidency he assumed his new name which had at least two translations. "The Ngbandi translation reads, 'the warrior who knows no defeat because of his endurance and inflexible will and is all powerful, leaving fire in his wake as he goes from conquest to conquest'. In Tshiluba, the name translates to 'invincible warrior, Cock who leaves no chick intact'" (Callaghy 1979, 341 quoted in Dunn 2001, 239). Mobutu ran the country for over 30 years, until he was eventually deposed by a rebellion.

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